BUY-SIDE EQUITY RESEARCH

INNIO N.V.

Gas engine gensets for behind-the-meter data centre power

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1 EXECUTIVE SUMMARY

Market cap: US$18.1-18.3bn (US$24.42, 31 Jul 26 close)	Enterprise value: approx. US$20.5bn
Revenue (FY25 / LTM Q2'26): US$2,637m / US$3,090m (+53% LTM y/y)	Gross margin (LTM): 33.5%; Q2'26 32.8%
Adj. EBITDA (FY25 / LTM): US$549m (20.8%) / US$586m (19.0%)	FY26 guidance: Revenue US$3.8-3.9bn; Adj. EBITDA US$720-740m
Equipment order backlog: US$6,576m at 30 Jun 26 (+279% y/y)	Backlog + slot reservations: more than 15 GW; approx. 64% BTM data centre
Net debt / leverage: US$1,579m / 2.7x LTM Adj. EBITDA	Share count: 750.0m issued; free float only 103.3m (13.8%)
Sponsor stake: AI Alpine (Advent + ADIA) approx. 86%	HQ / plants: Munich, DE; Jenbach AT, Waukesha WI, Welland ON

INNIO sits one layer below the hyperscaler capital expenditure cycle. It does not build data centres and it does not sell electricity. It manufactures the reciprocating gas engine generator sets — under the Jenbacher brand in Austria and the Waukesha brand in Wisconsin — that data centre developers are installing on their own sites to generate power directly, bypassing utility grid interconnection queues that now run three to seven years. Its customers are therefore the developers, colocation operators, packagers and energy-as-a-service integrators sitting between the hyperscaler and the electron. Downstream of the engine sale, INNIO owns a service annuity: an installed base of roughly 44 gigawatts (GW) generating long-term service agreements, spare parts and overhaul revenue at roughly 30% segment margin.

The core thesis is that the demand argument is already settled and the debate has moved entirely to margin and ownership structure. A US$6.6bn equipment order backlog, a 4.4x first-half book-to-bill and a landmark 1.1 GW single order have removed volume risk through at least 2029; what remains contested is whether equipment segment margin recovers from 11.4% in the first half toward the mid-to-high teens as production capacity scales from approximately 3.5 GW to approximately 10 GW annually, and whether a 13.8% free float held against an approximately 86% private equity stake can absorb the inevitable sell-down. The stock has de-rated roughly 27% from its US$33.30 first-day close despite beating consensus on its first print as a public company, which is the market pricing exactly those two questions rather than the order book.

This is a growth-at-a-contested-price situation, not a value one. At roughly 28x enterprise value to guided FY26 adjusted EBITDA, the equity already capitalises a successful capacity ramp. The asymmetry sits in the service flywheel, which is not obviously in consensus numbers: management discloses that historically each equipment sale generates roughly 2.5x its own adjusted EBITDA in subsequent service EBITDA, and states that the service intensity of the current data centre backlog is substantially above the installed base average, because prime power engines run continuously rather than as standby assets.

2 TECHNOLOGY DEEP-DIVE

ELI5 — A car engine the size of a shipping container, wired to a generator

Take the engine out of a car. Make it burn natural gas instead of petrol. Scale it up until each cylinder is the size of a beer keg, then bolt twenty-four of them together in a V. Instead of turning wheels, the crankshaft spins an alternator that makes electricity. Put the whole thing in a shipping container so a truck can deliver it. That is a Jenbacher genset. A data centre that cannot get a grid connection parks two hundred of these on site and runs them around the clock. The key trick is that a car engine can go from idle to full power in seconds — a jet-engine-style turbine cannot. When an artificial intelligence (AI) training cluster suddenly draws or drops hundreds of megawatts as a job starts and stops, the fleet of small engines simply adds or sheds individual units, while a single large turbine would be forced into inefficient part-load operation or trip offline entirely.

2.1 What the machine actually does

A Jenbacher engine is a four-stroke, spark-ignited, lean-burn reciprocating internal combustion engine. Lean-burn means the air-to-fuel ratio is deliberately set well above stoichiometric — far more air than is needed to burn the gas. This lowers peak combustion temperature, which matters because nitrogen oxide (NOx) formation is exponentially temperature-dependent via the Zeldovich mechanism; running lean is the primary in-cylinder emissions control lever and is what allows these units to be permitted at sites where diesel would fail air quality review.

The engineering problem lean-burn creates is that a very lean mixture is hard to ignite reliably with a spark plug. INNIO's answer is pre-chamber combustion: a small, separately fuelled chamber sits above the main cylinder, is charged with a locally rich mixture, and is ignited by the spark plug. The resulting flame jets fire through orifices into the main chamber and ignite the lean bulk charge at many points simultaneously. This produces fast, complete combustion of a mixture that a conventional spark plug could not light at all. Pre-chamber design, chamber geometry and the control logic that trims fuelling cylinder-by-cylinder are the accumulated process know-how that separates the incumbents from new entrants; it is not patent-protected so much as calibration-protected, refined over tens of thousands of field engines.

Two further levers set the top of the product range. Two-stage turbocharging — compressing intake air twice with intercooling between stages — raises brake mean effective pressure and therefore power density, letting a given displacement produce far more output. Miller-cycle valve timing (closing the intake valve early or late relative to bottom dead centre) decouples the effective compression ratio from the expansion ratio, so the engine can run a high expansion ratio for efficiency while keeping compression temperatures low enough to avoid knock. These are why a Jenbacher Type 6 achieves roughly 47% electrical efficiency and the Type 9 reaches 48.7%, against simple-cycle gas turbines of comparable output in the mid-30s.

The final differentiators for the data centre application are dynamic. The J920 FleXtra reaches full load from a standing start in approximately two to five minutes; a reciprocating engine fleet also holds near-flat efficiency down to low load because units can be shut off individually while the remainder run at their optimum point, whereas a gas turbine's efficiency degrades sharply below roughly 80% load. That transient behaviour is the technical core of the pitch to operators of AI clusters, whose site load can swing by hundreds of megawatts within seconds as training jobs step.

2.2 Product portfolio

Product line	Output / key specification	Primary application	Competes against
Jenbacher Type 2	approx. 0.25-0.35 MW electrical (EST.); entry-level frame	Small combined heat and power (CHP), biogas	Rolls-Royce mtu Series 400, Yanmar, 2G Energy
Jenbacher Type 3	approx. 0.5-1.1 MW electrical (EST.)	Landfill and sewage gas, small CHP	Rolls-Royce mtu Series 4000, Cat CG132
Jenbacher Type 4	approx. 0.8-1.5 MW electrical (EST.)	Industrial CHP, greenhouse	Cat CG170, MWM TCG 2020, Rolls-Royce mtu

Product line	Output / key specification	Primary application	Competes against
Jenbacher Type 6 (J612 / J620 / J624)	1.8-4.5 MW; J624 is V24, two-stage turbocharged, 4,507 kW at approx. 47.1% electrical efficiency; world's first 24-cylinder gas engine; more than 7,000 Type 6 delivered since 1989 (J624 since 2007)	Data centre prime power, industrial power, district heating, microgrids	Caterpillar G3516 / G3520, Cummins C-series gas, Rolls-Royce mtu Series 4000 L64
Jenbacher Type 9 (J920 FleXtra)	10,606 kW (10.6 MW); up to 48.7% electrical and approx. 47% thermal, approx. 94% total in CHP; three-module design (engine, generator, turbocharger) factory-tested and assembled on site; full load in approx. 2-5 minutes	Utility-scale flexible generation, grid stabilisation, large district heating	Wartsila 34SG (approx. 10 MW) and 50SG (approx. 18-19 MW); aeroderivative turbines
Waukesha VHP / VHP Series Five	315 kW to 1.5 MW (405-2,560 bhp); rich-burn; turndown 700-1,200 rpm; Series Five includes P9394GSI S5 at 2,500 hp, 7044GSI S5 at 1,900 hp, 7042GSI S5 at 1,500 hp	Gas compression, oilfield power, standby	Caterpillar G3500 series, Ariel-packaged competitor engines
Waukesha VGF	approx. 340-1,175 bhp; 6 to 16 cylinders, inline and V configurations	Mid-range prime and backup power, compression	Caterpillar G3400/G3500, Cummins gas
Waukesha 275GL+ with ESM2	16-cylinder 5,000 bhp (3,728 kWb); 12-cylinder 3,750 bhp (2,800 kWb); lean-burn; 0.3 g/bhp-hr NOx; full power to 1,550 Btu/scf and to 6,000 ft altitude	High-horsepower midstream gas compression	Caterpillar 3616 / G3600, Ajax, Cat-packaged units
Waukesha mobileFLEX	Mobile drill-rig and oilfield power; gas substitute for diesel gensets	Drilling, artificial lift, flare-to-power	Caterpillar mobile gensets, diesel incumbents
myPlant / SkidIQ (digital)	AI-enabled asset performance management (APM) and fleet monitoring platform across the installed base	Predictive maintenance, service contract pull-through	Cat Connect, Rolls-Royce mtu Go, Wartsila Expert Insight
reUp (remanufacturing)	Reman engines, blocks and parts restored to current specification	Aftermarket margin capture, lifecycle extension	Independent rebuilders, OEM reman programmes

The portfolio is deliberately barbelled. Waukesha is a North American oil and gas franchise built around gas compression duty cycles and fuel-quality tolerance; Jenbacher is a European power generation franchise built around efficiency and emissions. The data centre opportunity is being served almost entirely by the Jenbacher Type 6, and specifically the J624.

2.3 Why this cycle changes the demand profile

ELI5 — The queue at the electricity shop is now longer than the build time of the shop

If you want a big new grid connection in the United States, the wait is typically three to seven years. A data centre can be designed, built and filled with servers in one to two years. That mismatch is the whole story. Rather than wait, operators are buying their own power plant and putting it on site — what the industry calls behind-the-meter (BTM) generation. Historically an engine maker sold data centres a few diesel gensets that sat idle as insurance and ran perhaps fifty hours a year. Now the same customer buys twenty times as many engines, and runs them eight thousand hours a year. The parts wear out, so they keep coming back.

The structural shift has three quantifiable legs, and each one changes a different line of the model.

- Volume and duty cycle. The historical data centre engine sale was standby: a diesel genset sized for the site, running only during outages and monthly tests. The current sale is prime power: the engines are the primary source of electricity. INNIO discloses that within the data centre portion of its backlog and slot reservations, approximately 94% relates to prime power rather than backup. Annual run hours move from the low hundreds to several thousand, which is the single largest change to the economics of the franchise.

- Order intensity. Data centre equipment order intake ran at US$4,149m over the twelve months to June 2026, up 398% year on year, versus US$1,859m for power solutions and US$581m for compression. Data centre alone was approximately 59% of FY25 equipment order intake and roughly 63% of the last-twelve-month figure. A single order — 1.1 GW, more than 200 J624 units booked in the second quarter of 2026 — is on its own comparable in scale to INNIO's entire FY25 data centre order intake of US$2,282m.
- Service intensity per installed megawatt. Because prime power engines accumulate operating hours an order of magnitude faster than standby units, the maintenance interval clock runs an order of magnitude faster. Management explicitly states that the expected service intensity of the current backlog is substantially above the average of the existing installed base. Against a disclosed historical ratio of approximately 2.5x service adjusted EBITDA earned per unit of equipment adjusted EBITDA, this is the mechanism by which a low-margin equipment sale becomes an attractive lifetime return.

The levelised cost of electricity (LCOE) framing is what makes the demand durable rather than opportunistic. On BloombergNEF data presented by the company in June 2026, a behind-the-meter gas engine set-up delivers electricity at roughly US$63 per megawatt-hour (MWh), against roughly US$72/MWh for a simple-cycle turbine and mid-US$70s for a fuel cell, versus grid prices of approximately US$103-131/MWh across Texas, Ohio and Pennsylvania. Combined-cycle gas turbine (CCGT) was excluded from the comparison at approximately US$110/MWh on the grounds that it remains nascent in BTM configurations. These figures are read from a vendor-presented chart and should be treated as directional; the directionally important point is that once the capital expenditure is sunk, the operating economics do not revert if grid capacity eventually arrives, because the owner has avoided transmission and distribution charges permanently.

The competitive counterpoint on physics is real and should not be glossed. Reciprocating engines generate less power per unit than turbines, so a gigawatt-scale site needs hundreds of machines rather than a handful, with correspondingly more balance-of-plant, more maintenance events and more site footprint. INNIO's answer is containerisation and modularity — the J624 ships as a container that a truck can deliver and a crane can set — which converts a construction project into a logistics exercise. Whether that trade favours engines or turbines is site-specific and is the live technical debate in the sector.

3 SUPPLY CHAIN MAPPING

ELI5 — The bottleneck is not the factory, it is the foundry queue

An engine block is a single lump of cast iron weighing several tonnes, and a crankshaft is a forged steel bar machined to tolerances measured in microns. Very few places in the world can make either at the required size and quality, and those places take orders years in advance. So when INNIO says it is tripling capacity, the constraint is rarely the assembly hall — it is whether the foundry, the forge and the big machine tools that finish the parts can keep up. That is why the company is spending on 'machining capacity' rather than simply hiring more assemblers.

INNIO does not publish a named supplier list, and the mapping below is constructed from the nature of the product, disclosed manufacturing footprint and industry structure rather than from company disclosure. It should be read as a structural risk map, not a verified vendor register.

Input / component	Nature of supply	Single-source risk	Why it matters
Engine blocks and cylinder heads (large grey / ductile iron castings)	Specialist European and North American heavy foundries; very long lead times; capacity committed years ahead	Effectively limited-source. Qualifying a new foundry for a large-bore block is a multi-year metallurgical exercise	The hardest physical constraint on the 3.5 GW to 10 GW capacity ramp. A foundry slot missed is an engine not built, and cannot be bought back with price

Input / component	Nature of supply	Single-source risk	Why it matters
Crankshafts and connecting rods (large forgings)	A small global set of heavy forging houses, heavily overlapping with marine and wind gearbox demand	Limited-source; competing end-market demand from marine and wind is a real crowding-out risk	Directly gates unit output; also a quality-critical part where a defect is a field failure
Turbochargers (single- and two-stage)	Concentrated industrial turbocharger market — Accelleron (former ABB Turbocharging), Kompressorenbau Bannewitz (KBB) and equivalents	Likely single- or dual-source per engine platform; two-stage systems are matched to the specific combustion calibration	A matched turbo is not commodity hardware. Substitution requires re-certification of the whole engine map
Alternators / generators	Industrial alternator specialists (Marelli, Nidec-owned Leroy-Somer, ABB and similar). INNIO has publicly partnered with Nidec on Waukesha generator sets	Dual-source achievable but frame-size specific	Cost and lead time; also efficiency at the genset level, which affects the quoted electrical efficiency figure
Engine control systems and power electronics	In-house control logic (ESM2 controller) on top of merchant semiconductors and sensors	In-house for the differentiating layer; merchant beneath	The controller is proprietary intellectual property (IP) and a genuine switching cost. The silicon underneath is exposed to general semiconductor supply conditions
Containerisation, enclosures and packaging	Being internalised: new dedicated sites in Trenton, New Jersey and Waller, Texas	Low; multiple fabricators available	Historically outsourced to packagers. Internalising captures margin and de-risks delivery, but adds fixed cost during ramp — visible in current equipment margin
Steel, aluminium, copper, aftertreatment catalyst metals	Commodity markets; euro and US dollar exposure	None individually	Input cost pass-through lags on fixed-price backlog. A US$6.6bn backlog priced at today's input costs carries embedded commodity risk into 2029
Skilled machinists and assembly labour	Tyrol (Austria) and Wisconsin labour markets	Not substitutable at speed	The realistic near-term rate limiter on the ramp alongside castings; also an inflation channel into cost of goods sold

Geographic concentration is the sharpest structural exposure. The Jenbacher franchise is manufactured principally at Jenbach and Hall in Tyrol, Austria — a single Alpine valley — while North American manufacturing runs through Waukesha, Wisconsin and Welland, Ontario. The company is a German tax resident, incorporated in the Netherlands, listed in the United States, manufacturing in Austria, Wisconsin and Ontario, and selling most of its incremental growth into the United States. That geometry carries live tariff and trade-policy exposure: North American revenue grew 99% year on year to US$1,104m over the last twelve months, with the United States alone at US$997m, and the marginal engine serving that demand is increasingly built in Austria and shipped. Caterpillar explicitly attributed unfavourable manufacturing costs in its fourth quarter of 2025 to higher tariffs; INNIO has the same exposure with a longer trans-Atlantic supply line and less domestic content.

The margin-relevant conclusion is that the current equipment margin compression is at least partly a supply chain phenomenon rather than a pricing one. Management describes the compression as self-funded growth investment: dual-running old and new lines, paying premium rates for expedited castings and machining, standing up Trenton and Waller before they carry volume, and using third-party expertise to accelerate the capacity uplift. That framing is plausible, and it is also unfalsifiable until the ramp either delivers operating leverage or does not.

4 COMPETITIVE LANDSCAPE

ELI5 — Three ways to make electricity on site, and everyone is racing to sell you one

A data centre needing its own power has three realistic choices. Lots of small fast engines (INNIO, Caterpillar, Cummins, Rolls-Royce); fewer, bigger turbines (GE Vernova, Siemens Energy, Caterpillar's Solar Turbines); or fuel cells, which convert gas to electricity chemically rather than by burning it (Bloom Energy). Engines win on speed of delivery, part-load flexibility and how fast they respond to sudden load changes. Turbines win on power per unit and site footprint. Fuel cells win on emissions and noise but cost more per unit of output. Right now, speed of delivery is the thing customers care about most, which is why engines are taking share.

Competitor	HQ	Revenue (latest disclosed)	Position / share indication	Key differentiator	Weakness vs. INNIO
Caterpillar (Cat Energy, Solar Turbines)	Peoria, IL, USA	US$67.6bn group FY25; Power & Energy segment US$28.6bn (42% of group) at 26.3% operating margin — roughly 10x INNIO's total revenue	The volume leader in reciprocating gensets. Booked a 2 GW G3516 fast-response gas genset order from AIP Corp with deliveries Sep 2026 to Aug 2027. Plans nearly 3x large recip capacity by 2030 vs 2024, up from a prior 2x target	Unmatched global dealer and financing network (Cat Financial); can offer engines, turbines and microgrid integration from one balance sheet; Vertiv partnership on integrated power and cooling	Lower electrical efficiency in the class (G3516 vs J624); gas gensets are a fraction of a conglomerate rather than the whole company, so data centre gas is not the CEO's only priority; less European CHP and hydrogen heritage
Wartsila	Helsinki, Finland	US$7.74bn LTM (approx. 2.5x INNIO); order book EUR 8,976m, +13%	The medium-speed leader. More than 1.6 GW of US data centre engine capacity across four projects, including a 412 MW Ohio order (40 x 34SG units) and a 429 MW order (24 engines)	Medium-speed 34SG (approx. 10 MW) and 50SG (approx. 18-19 MW) deliver far more power per unit, higher efficiency and longer overhaul intervals; deep utility-scale plant EPC experience	Larger, heavier units are harder to transport and cannot be containerised the way a J624 can; slower to site; marine cyclicality dilutes the energy story; energy storage business has been moved into a joint venture after tariff and competition pressure
Cummins	Columbus, IN, USA	US$33.89bn LTM (approx. 11x INNIO); FY26 revenue guided +8-11%, EBITDA 17.75-18.50%	Record Power Systems sales on data centre backup demand; strongest in standby and smaller prime installations	Enormous global service and distribution footprint; strongest brand in data centre backup gensets; balance sheet and dividend capacity INNIO does not have	Historically diesel-standby-weighted rather than continuous-duty gas prime power; the high-efficiency lean-burn large-bore gas franchise is less established than Jenbacher's
Rolls-Royce Power Systems (mtu)	Friedrichshafen, Germany	Division of Rolls-Royce Holdings (group underlying revenue GBP 20.1bn FY25); RRPS standalone annual revenue not separately confirmed	Credible but smaller share of the US data centre segment specifically; order intake EUR 3.5bn at 1.4x book-to-bill on a reported basis	New 20-cylinder mtu Series 4000 L64 delivers 2.8 MW in 45 seconds with the gearbox eliminated, saving footprint — a direct attack on INNIO's fast-start claim; strong European and defence relationships	Smaller unit size than the J624 means more machines per gigawatt; parent group capital allocation is dominated by civil aerospace, limiting the pace of dedicated gas capacity investment
Rehlko (formerly Kohler Energy)	Kohler, WI, USA	Private; revenue not disclosed	Both customer and competitor. Holds a multi-year framework with INNIO for approximately 1.25 GW of gas engine capacity over three years, expanding an existing 700 MW firm reservation, while separately competing in data centre gensets	Packaging, integration and channel reach into US data centre operators; can present a complete power island	Depends on INNIO (and others) for the prime mover in the large gas class; the relationship is an INNIO revenue channel today but a disintermediation risk if Rehlko dual-sources

Competitor	HQ	Revenue (latest disclosed)	Position / share indication	Key differentiator	Weakness vs. INNIO
GE Vernova (gas turbines)	Cambridge, MA, USA	FY26 guidance US$44.5-45.5bn; gas equipment backlog plus slot reservations 116 GW, targeting at least 125 GW by end-2026	The alternative technology at scale. Not a recip competitor but competes for the same behind-the-meter megawatt	Power per unit, aeroderivative fast-start options, and a backlog and slot-reservation system that locks customers into GEV factory capacity years ahead	Multi-year delivery slots for heavy-duty frames are precisely the wait INNIO's customers are trying to avoid; poorer part-load efficiency and transient response under stepped AI loads
Bloom Energy (fuel cells)	San Jose, CA, USA	US$3.11bn LTM revenue — almost identical to INNIO's US$3.09bn — on a market capitalisation several times larger	The premium-valuation incumbent of the on-site power theme; approximately US$20bn backlog cited by sell-side	No combustion, so far easier air permitting in constrained airsheds; near-silent; modular and very fast to deploy	Higher levelised cost of electricity (mid-US$70s/MWh vs approximately US$63 for gas engines on the company's cited BloombergNEF data); related-party revenue concentration through Brookfield joint ventures; no comparable service annuity on a 44 GW installed base

One market-sizing anchor is worth holding onto: Rabobank estimates that Caterpillar, Wartsila and INNIO Jenbacher together account for approximately 18.3 GW of announced behind-the-meter reciprocating engine capacity in the United States, within a behind-the-meter pipeline of more than 130 GW of proposed resources serving planned data centre projects, of which gas is over 80%. INNIO's own backlog plus slot reservations of more than 15 GW, roughly 64% of it behind-the-meter data centre, therefore represents a very large share of the announced recip pipeline — which is either evidence of competitive strength or evidence that a single company has concentrated an unusual amount of one cycle's risk, depending on where one sits.

4.1 The moat

- Calibration know-how, not patents. Pre-chamber geometry, two-stage turbo matching and the cylinder-level control maps that let a lean-burn engine run stably on variable-quality gas are refined over decades of field data. A new entrant can buy the same castings and turbochargers and still produce an engine that knocks, fouls or fails emissions.
- Installed base and the service annuity. Approximately 44 GW of active Jenbacher and Waukesha engines generate contractual and transactional service revenue at approximately 30% segment margin, running at US$1,397m over the last twelve months and growing 21%. Long-term service agreements on prime power assets are effectively multi-decade and are the reason the equipment sale can be priced competitively.
- Switching costs at the fleet level. An operator that has standardised on the J624 has trained technicians, stocked spares, integrated myPlant telemetry into its operations centre and written the maintenance procedures. Switching prime movers mid-build is expensive and slow, which is why the second quarter of 2026 saw follow-on orders from an existing hyperscaler and repeat colocation customers rather than only new logos.
- Delivery slots as a commercial asset. With more than 15 GW committed and a production capacity of roughly 3.5 GW rising to approximately 10 GW, the scarce good is a factory slot. Slot reservation agreements convert that scarcity into contracted visibility and are a genuine competitive barrier while the shortage lasts.

4.2 The most credible threat

The threat to name is Caterpillar, and specifically its decision to raise large reciprocating engine capacity to nearly three times 2024 levels by 2030 and to lift its power generation sales growth target to more than 3.0x from 2.0x. INNIO's moat is currently being paid for by scarcity: customers accept the margin, the lead time and the terms because there is nowhere else to go at volume. Caterpillar has the balance sheet, the dealer network, the financing arm and an existing 2 GW reference order to remove that scarcity, and it does not need gas gensets to be profitable at INNIO's margins to justify the investment. If both Caterpillar's and INNIO's expansions land into a data centre power market that has begun to normalise — because grid interconnection improves, or because hyperscaler capital expenditure growth decelerates — the industry moves from allocating scarce slots to competing for orders, and the pricing that underpins the service flywheel's economics goes with it. Wartsila is the secondary threat on physics rather than capacity: if operators conclude that fewer, larger medium-speed units beat hundreds of containerised high-speed ones at gigawatt scale, the J624's containerisation advantage becomes less relevant precisely at the site sizes that matter most.

5 MANAGEMENT AND GOVERNANCE

Executive	Role / tenure	Background	Read
Dr. Olaf Berlien	President and CEO since October 2021 (approx. 4.8 years); board member	CEO of Osram AG 2015-Feb 2021; CEO of Exyte AG 2013-2015; ThyssenKrupp AG executive board 2002-2013, CEO of ThyssenKrupp Technologies then ThyssenKrupp Elevator; CFO of Carl Zeiss AG from 1998; career started at IBM in 1988. Doctorate in economics, TU Berlin; honorary professor there since 2011	Deep large-cap industrial operating and board experience, and a genuine capital markets CV. The Osram tenure is not uncontroversial: an aggressive LED investment programme drew a public clash with Siemens as largest shareholder, and he presided over the contested sale of Osram to AMS AG. A CEO comfortable with large, front-loaded capacity bets — which is precisely what INNIO is doing now
Dr. Dennis Schulze	CFO since April 2019 (approx. 7.3 years); board member; also heads M&A	Group CFO of H.C. Starck Group 2016-2019; CFO of Douglas Holding AG 2013-2015 including IPO readiness and dual-track exit work; Managing Director at The Carlyle Group 1999-2012, leading the DACH buyout business 2009-2012	A sponsor-side financier running a sponsor-owned company through its listing. Long tenure and clear ownership of the US GAAP conversion and IPO. The flip side is that his formative experience is exit engineering, and the first-half accounts show US$91.1m of IPO and public market readiness cost, of which US$61.5m was a 2023 long-term incentive plan crystallising on listing
Dr. Andreas Kunz	CTO since September 2020 (approx. 5.9 years)	Nearly two decades at Rolls-Royce Power Systems / MTU (2001-2020): VP Engine Platforms, VP Global Manufacturing, VP Operations Onsite Energy, MD of Rolls-Royce Solutions Augsburg where the gas engine power generation products were developed; elected to the RRPS and MTU Friedrichshafen supervisory boards 2017-2020	The most thesis-relevant hire on the team. He built the competing product line at the company that is now attacking the J624's fast-start positioning with the mtu Series 4000 L64, and he owns both product development and customer order engineering during the ramp

5.1 Ownership, insider transactions and alignment

The ownership structure is the single most important governance fact about this security. INNIO was carved out of General Electric by Advent International in 2018; in 2023 Luxinva S.A., a wholly owned subsidiary of the Abu Dhabi Investment Authority (ADIA), took a significant minority stake. Both invest through AI Alpine (Luxembourg) S.a r.l., the principal shareholder and the sole selling shareholder in the June 2026 initial public offering (IPO).

The IPO was 100% secondary: 90,000,000 shares at US$27.00, raising US$2.43bn, none of which went to the company. At least one source records total secondary sales of 103.5m shares for approximately US$2.69bn, which is consistent with full exercise of a 13.5m share over-allotment option; the two figures are reconcilable and the difference is flagged rather than resolved here. Against 750.0m shares issued, the sponsors retain roughly 86-88% and the free float is 103.3m shares, or 13.8%. Institutional ownership is recorded at approximately 1.02% and insider ownership at approximately 0.02%.

The alignment read is uncomfortable but should be stated plainly rather than dramatised. There is no dual-class share structure, which is a genuine positive relative to the typical sponsor listing. But the only insider transaction of consequence in the company's public life to date is the sponsors selling US$2.4-2.7bn of stock, the company received nothing from it, and management personally owns approximately nothing. Executive compensation is described as modest by European private-equity-backed standards; a 2026 Incentive Award Plan exists with 1,702,100 restricted stock units (RSUs) awarded and US$1.1m of share-based compensation recognised in the second quarter, which is a rounding error against a US$18bn market capitalisation. Management is credible and experienced; it is not yet meaningfully aligned as an equity owner alongside minority shareholders.

5.2 Governance flags

- Material weaknesses in internal control over financial reporting. INNIO has disclosed material weaknesses and lists remediation among its forward-looking risk factors. This is common for a sponsor carve-out converting to US GAAP, and the company spent US$20.8m in the first half on the US GAAP financial statement conversion alone. It is nonetheless a live control-environment flag on a company whose numbers now carry a US$18bn valuation, and the first Form 10-K under Sarbanes-Oxley Section 404 is the test.
- Controlled company status. With approximately 86% held by AI Alpine, INNIO can rely on controlled company exemptions from certain Nasdaq board independence requirements. Minority shareholders should assume the sponsors set the agenda on capital allocation, board composition and the timing and structure of any sell-down.
- Structural complexity and tax residency. The accounting predecessor INNIO Group Holding GmbH was reorganised under INNIO Holding GmbH in September 2025; that entity converted to INNIO Group Holding B.V. on 3 June 2026, immediately before listing, with INNIO N.V. as the listed entity. The company explicitly flags its ability to retain tax residency in Germany as a risk factor. A Dutch-incorporated, German-tax-resident, US-listed group with Austrian and American manufacturing is efficient until a tax authority disagrees.
- Post-IPO securities investigation. On 30 July 2026, two days after the first earnings release, plaintiff firm Johnson Fistel announced it was investigating whether INNIO or certain officers violated securities laws, soliciting IPO investors who suffered losses. Such announcements routinely follow any IPO that breaks issue price and are not evidence of wrongdoing, but the combination of a disclosed material weakness, a 100% secondary offering and a share price roughly 10% below the IPO price is the standard fact pattern for a filed complaint.
- Guidance track record. There is none. FY26 guidance issued on 28 July 2026 is the first public guidance INNIO has ever given. There is no history of setting or beating a public bar, no calibration on management conservatism, and no way to judge whether the H2 margin recovery embedded in that guidance reflects a sandbagged number or a stretch. This is the single largest gap in the diligence file and it can only be closed with time.

Assessment: competent and experienced, plausibly credible, not yet demonstrably aligned or calibrated. Berlien and Kunz are the right operators for a capacity ramp against a specific competitor, and Schulze has executed the listing cleanly. The governance discount the market is applying is rational rather than punitive, and it should compress with a clean 10-K, a remediated control environment, an orderly sponsor sell-down that widens the float, and one or two guidance cycles delivered.

6 FINANCIAL TRAJECTORY

ELI5 — Selling more, earning less on each sale, and being paid up front

Three things are happening at once and they pull in different directions. First, revenue is growing very fast because the order book is enormous. Second, the profit margin on each engine sold has fallen, because building twice as many engines means paying overtime, expediting parts and running two factories where there was one. Third — and this is the part people miss — customers are paying large deposits before delivery, so cash is pouring in even though accounting profit is negative. That last effect is real cash today, but it is borrowed from tomorrow: the deposits become revenue later, and if orders ever slow, the cash flow reverses hard.

US$m unless stated	Q2'25	Q3'25	Q4'25	FY25	Q1'26	Q2'26	LTM Q2'26
Total revenue	660	743	741	2,637	669	938	3,090
Equipment revenue	354	417	384	1,365	322	569	1,693
Services revenue	305	325	357	1,271	346	368	1,397
Adjusted EBITDA	144	144	147	549	122	172	586
Adj. EBITDA margin	22%	19%	20%	21%	18%	18%	19%
Equipment segment margin	19%	16%	12%	15%	7%	14%	13%
Services segment margin	28%	28%	30%	29%	32%	30%	30%
Net income (loss), GAAP	62	40	5	142	(9)	(17)	19
Equipment order intake	550	1,975	706	3,884	1,617	2,290	6,589
Equipment order backlog	1,735	3,293	3,599	3,599	4,865	6,576	6,576
Power delivered (GW)	0.9	1.1	0.9	3.4	0.7	1.1	3.8
Net leverage (x LTM adj. EBITDA)	n/d	n/d	3.6x	3.6x	3.2x	2.7x	2.7x

The table contains the entire debate. Revenue compounds violently — up 42% year on year in the second quarter and 53% on a last-twelve-month basis — while group adjusted EBITDA margin has fallen from 22% to 18% over four quarters. The cause is arithmetically clear and sits in two places. First, mix: equipment grew to 61% of second-quarter revenue against a services segment that earns roughly 30% margin versus equipment's 14%, so growing the lower-margin segment faster mechanically dilutes the group. Second, absolute equipment margin itself has fallen, from 19% in the second quarter of 2025 to 14%, with a trough of 7% in the first quarter of 2026, on capacity ramp costs.

Services is the quiet counterweight and is performing better than the headline suggests. Segment margin expanded 180 basis points year on year to 30% while revenue grew 21%, with management attributing the expansion to a favourable parts-versus-labour mix that more than offset growth investment in parts capacity and service force. Contractual services revenue grew 18% and transactional 22% over the last twelve months. This is the segment that ultimately determines whether the equipment backlog is worth what the market is paying for it.

6.1 Guidance and medium-term framing

Metric	FY25 actual	FY26 guidance	Implied change	What it requires
Total revenue	US$2,637m	US$3,800-3,900m	+46% at midpoint	H2'26 revenue of approximately US$2,244m versus US$1,606m in H1'26 — a 40% half-on-half step-up driven by capacity coming online
Adjusted EBITDA	US$549m	US$720-740m	+33% at midpoint	H2'26 adjusted EBITDA of approximately US$435m versus US$295m in H1'26, a 48% half-on-half increase
Adj. EBITDA margin	21%	approx. 19%	approx. (200)bps	Group margin of roughly 19.4% in H2 versus 18.4% in H1. Management frames FY26 as the trough year with margin recovering as the business grows into its cost base

Metric	FY25 actual	FY26 guidance	Implied change	What it requires
Revenue mix	Equipment 52% / Services 48%	Equipment approx. 65% / Services approx. 35%	Equipment mix +13pts	The guided mix shift is itself the primary source of the margin decline, independent of any operational execution
Equipment segment margin (derived)	15%	not guided separately	approx. 16% needed in H2 (EST.)	Backing out services at roughly 30% margin and unallocated corporate costs, H2 equipment segment margin of approximately 16% is required to hit the midpoint, against 13.8% in Q2'26 and 11.4% in H1'26

No medium-term targets beyond FY26 have been published. Management states that the backlog provides revenue visibility extending at least into 2030 and that production capacity is targeted to grow from approximately 3.5 GW in 2025 to approximately 10 GW, but no dated margin or revenue framework accompanies those statements. Investors are therefore underwriting a capacity number and a backlog number, not a profit trajectory.

6.2 Balance sheet items that matter

- Leverage is falling fast but the capital structure is still leveraged-buyout shaped. Long-term debt was US$2,607m at 30 June 2026 against US$1,040m of cash, for net debt of US$1,579m and net leverage of 2.7x, down from 3.6x at December 2025. Total debt on a broader definition including leases is approximately US$2.95bn. Deleveraging has come from EBITDA growth and cash build, not repayment: only US$3.8m of loans were repaid in the first half.
- Interest expense is a material earnings drag. Net interest and related financing costs were US$123.7m in the first half (US$70.8m in Q1, US$52.9m in Q2) and US$237m over the last twelve months, against LTM adjusted EBITDA of US$586m. Cash interest paid was US$91.9m in the first half. Interest coverage is recorded at approximately 1.9x. This is why a company generating US$586m of adjusted EBITDA reported only US$19m of last-twelve-month GAAP net income.
- Shareholders' equity is nearly nil and tangible book value is deeply negative. Total equity was US$219.1m against US$1,649m of goodwill and US$720m of net intangibles — the residue of the 2018 carve-out purchase accounting. Book value per share is US$0.28 against a US$24.42 share price. Any conventional balance-sheet-based valuation approach is meaningless here.
- Working capital is being funded by customers, and this flatters cash flow. Contract liabilities rose from US$816m at December 2025 to US$1,397m at June 2026 — a US$581m increase — while inventories built from US$601m to US$958m. The US$594.5m first-half contract liability inflow is the single largest line in operating cash flow of US$443.6m. Reported last-twelve-month free cash flow of US$695m is therefore substantially a prepayment phenomenon, not a steady-state conversion rate, and the company's own cash conversion metric (adjusted EBITDA less capital expenditure over adjusted EBITDA) has fallen from 85% to 71% year on year as capital expenditure doubled.
- Capital expenditure is stepping up as expected. Capex was US$171m in FY25 and US$102m in the first half of 2026 alone (US$50m in Q2, versus US$21m in Q2'25), funding the Jenbach assembly line, the Trenton and Waller containerisation sites, and machining capacity. Management describes the expansion as self-funded, which the cash flow currently supports.
- No dilution to date and no dividend. Share count is a flat 750,000,000 with 1,702,100 RSUs outstanding — dilution of roughly 0.2%. No dividend is paid and capital allocation plans, including the timing and amount of any dividend, are listed as a forward-looking uncertainty. There have been no impairments or capital raises.

7 NEAR-TERM CATALYSTS AND RISKS

Catalyst	Timing	Impact	Probability
Q3 2026 results: equipment segment margin inflection	Early November 2026 (est.)	The decisive print. Equipment segment margin must reach roughly 16% in H2 to hit guidance midpoint, versus 13.8% in Q2. A print above 15% validates the operating leverage story and the multiple; a print near 12% turns FY26 guidance into a cut and the thesis into a show-me	High (occurrence certain; direction uncertain)
Sponsor lock-up expiry and follow-on secondary	Approx. 30 Nov 2026 (est., 180 days from the 3 June prospectus)	AI Alpine holds roughly 646m shares against a 103m float. Any sell-down is a supply shock in the near term but the necessary route to a genuine float, institutional ownership above 1% and eventual index eligibility. Expect the stock to trade poorly into it and better after it	High that it eventually occurs; timing and size unknown
Further gigawatt-scale data centre orders	Ongoing; disclosed at quarter ends	Order intake of US$2.3bn in a single quarter has reset the bar. Another 1 GW-class award extends visibility past 2030; a quarter without one will be read as the cycle peaking, regardless of backlog	High
Capacity milestones: Jenbach line, Trenton NJ and Waller TX	Through 2026-2028	Physical evidence on the 3.5 GW to 10 GW path. Commissioning on schedule converts ramp cost into operating leverage; slippage extends the margin trough by quarters	High that milestones occur; Medium that they land on schedule
Rehlko framework conversion into firm orders	Over three years from Q2 2026	Approximately 1.25 GW of framework capacity expanding a 700 MW firm reservation. Conversion rate is a clean test of whether slot reservations are real demand or optionality	Medium
First Form 10-K and material weakness remediation	Feb-Mar 2027	A clean Sarbanes-Oxley Section 404 opinion removes a specific, quantifiable governance discount. Continued material weakness disclosure invites the plaintiff bar and keeps institutions out	Medium
Deleveraging below 2.0x and capital allocation framework	2027	At current EBITDA growth, net leverage passes below 2.0x during 2027 on arithmetic alone. A stated capital return or M&A framework would be the first real signal of post-sponsor capital discipline	Medium
Securities litigation formalising into a filed complaint	H2 2026 - H1 2027	Modest direct financial impact; meaningful as a headline overhang and a distraction during the ramp. Would compound the material weakness narrative	Medium

7.1 Key risks

Equipment margin does not recover, and the mix shift makes it structural. The guided FY26 revenue mix moves equipment from 52% to approximately 65% of revenue. Because equipment earns roughly 14% segment margin against services at 30%, growing the order book faster than the installed base dilutes group margin even if every engine is sold at an unchanged price. Management's case is that current equipment margin is depressed by self-funded ramp costs and recovers with volume; the bear case is that data centre engines are being sold at structurally lower margin than the European combined heat and power business they are displacing, because the buyers are sophisticated developers ordering in gigawatt blocks with commensurate negotiating leverage. The first quarter of 2026 equipment segment margin of 7% is the data point that keeps this risk live. It will take three or four quarters of prints to distinguish the two explanations, and the stock carries a multiple that assumes the first.

The sponsor overhang is arithmetically overwhelming relative to the float. AI Alpine, the Advent and ADIA vehicle, holds roughly 646m of 750m shares. The public float is 103.3m shares, of which 7.34% is already sold short. Institutional ownership at approximately 1.02% means there is almost no natural, sticky long-only base to absorb supply. A 52-week range of US$21.69 to US$42.95 in under two months of trading is what a 13.8% float does to price discovery. This risk cuts both ways — a thin float amplifies upside on good news exactly as violently — but it means that position sizing here is a liquidity decision as much as a fundamental one.

Caterpillar removes the scarcity that underpins pricing. Caterpillar has raised its large reciprocating engine capacity target to nearly three times 2024 levels by 2030 and its power generation sales growth target to more than 3.0x, and it already holds a 2 GW G3516 reference order from AIP Corp with deliveries from

September 2026. Caterpillar's Power and Energy segment alone generated US$28.6bn of revenue in 2025 at a 26.3% operating margin — roughly ten times INNIO's entire revenue base, at a margin INNIO does not approach. It can fund capacity from operating cash flow, finance customer purchases through Cat Financial, and accept lower incremental margin than INNIO can. If both expansions complete into a market that has stopped growing at triple digits, INNIO is the party with more to lose.

Customer concentration is real and the counterparties are partly undisclosed. The 1.1 GW order — on its own comparable in size to all of FY25 data centre order intake — is from an unnamed developer and operator of mega-scale campuses, withheld under what the company describes as customary data centre confidentiality practice. Company disclosure shows a handful of customers each above 2.5% of equipment order intake dominating the mix. A developer is not a hyperscaler: it is typically financing a campus against anticipated tenant commitments, and its credit and its project timeline are both weaker than the hyperscaler ultimately taking the power. Investors cannot currently assess that counterparty. A cancellation, deferral or financing failure at one such customer would remove a visible fraction of a US$6.6bn backlog.

Technology substitution at the site-selection stage. Two specific threats. Wartsila's medium-speed 34SG and 50SG deliver 10 MW and 18-19 MW per unit against the J624's 4.5 MW, with higher efficiency and longer overhaul intervals; at gigawatt scale, fewer larger machines mean less balance of plant and fewer maintenance events, and Wartsila has already booked more than 1.6 GW of US data centre capacity across four projects. Separately, Rolls-Royce's new 20-cylinder mtu Series 4000 L64 reaches full 2.8 MW output in 45 seconds with the gearbox eliminated — faster than the J920's approximately two minutes and more compact — which attacks the transient-response argument that is central to INNIO's data centre pitch. On the turbine side, GE Vernova's gas backlog and slot reservations of 116 GW rising toward 125 GW show that if turbine delivery slots ever free up, a large alternative supply of behind-the-meter megawatts exists.

Air permitting and emissions policy in the specific states that matter. Behind-the-meter gas engines at data centre scale are a new and politically visible source of local NOx and criteria pollutant emissions in exactly the jurisdictions absorbing data centre growth — Texas, Ohio, Pennsylvania and Virginia. INNIO's lean-burn and hydrogen-ready positioning is a genuine mitigant, and the 100% hydrogen demonstration at 3 MW scale with Microsoft, Google and Data4 observers is a real technical marker. But a state-level permitting tightening on continuous-duty on-site combustion would advantage Bloom Energy's non-combustion fuel cells directly and could strand backlog that assumes permits are obtainable.

Tariffs and the trans-Atlantic manufacturing geometry. United States revenue grew 101% to US$997m over the last twelve months while the marginal Jenbacher engine is manufactured in Tyrol. Caterpillar explicitly attributed unfavourable fourth-quarter 2025 manufacturing costs to higher tariffs. INNIO carries the same exposure with less domestic content and a US$6.6bn backlog priced under fixed-price contracts extending to 2029 or beyond — meaning tariff or commodity cost increases from here are largely absorbed rather than passed through. The Trenton and Waller sites mitigate this at the packaging stage but not at the engine core.

The control environment. Disclosed material weaknesses in internal control over financial reporting on a company that has been public for two months, has never filed a Form 10-K, spent US$20.8m in one half converting its accounts to US GAAP, and is 86% owned by its selling sponsors, is a combination that warrants scepticism about the precision of reported non-GAAP figures until an auditor has opined under Section 404. Note that the definition of adjusted EBITDA here excludes IPO and public market readiness costs, transformation costs, transaction costs and share-based compensation — US$85.1m of add-backs in a quarter that reported US$172.3m of adjusted EBITDA and a GAAP net loss.

8 VALUATION CONTEXT

ELI5 — Two companies, the same sales, and a very different price tag

INNIO and Bloom Energy both sold roughly US$3.1bn of on-site power equipment over the past year. The market values Bloom at several times what it values INNIO. Some of that gap is real — Bloom burns nothing and is easier to permit — and some of it is fashion: Bloom has been a listed AI-power story for years and INNIO has been listed for eight weeks with almost no shares available to buy. Which of those two explanations dominates is, in one sentence, the entire valuation question.

Company	Market cap	Revenue (LTM)	Forward P/E	EV/EBITDA	Revenue growth	End-market exposure
INNIO (INIO)	US$18.1-18.3bn	US$3.09bn	38.4x	approx. 28x EV / FY26E adj. EBITDA; approx. 35x LTM adj. EBITDA	+53% LTM; +46% guided FY26	Approx. 63% of LTM equipment orders data centre; services 45% of revenue; Europe 41% / North America 36% / rest of world 23%
Wartsila (WRT1V.HE)	approx. US$19.7bn	US$7.74bn	not obtained	not obtained	Broadly flat organic H1'26; order book EUR 8,976m, +13%	Marine and energy roughly balanced; data centre engines a fast-growing but minority slice; energy storage moved to a joint venture
Cummins (CMI)	approx. US$87-97bn	US$33.89bn	19.8x	18.6x	FY26 guided +8-11%	On-highway truck engines, components, distribution; Power Systems is the data centre exposure and is a minority of group
Bloom Energy (BE)	approx. US$60-63bn	US$3.11bn	47.3x	approx. 120x	Not obtained; sell-side cites approx. US$20bn backlog	Pure-play on-site fuel cells for data centres; significant related-party revenue via Brookfield joint ventures
GE Vernova (GEV)	approx. US$285bn	FY26E US$44.5-45.5bn	46.3x	34x (Q2'26 basis) to 89x (trailing basis) — wide source dispersion	+22% in Q2'26 (+12% organic)	Gas turbines, electrification and wind; gas backlog plus slot reservations of 116 GW targeting at least 125 GW by end-2026

Read the table as a positioning map rather than a fair-value calculation. INNIO is the cheapest of the three high-growth on-site power names on every metric available and the most expensive relative to the two diversified industrials. Against Bloom Energy — the closest pure-play comparison, with almost identical last-twelve-month revenue — INNIO trades at roughly a third of the market capitalisation, at 38x forward earnings against 47x, and at roughly 28x forward enterprise value to adjusted EBITDA against a triple-digit trailing multiple. That discount is not obviously irrational: Bloom does not carry US$2.6bn of debt, does not have a disclosed material weakness, does not have 86% of its shares held by exiting private equity sponsors, and does not need air permits for combustion. But the gap is large enough that it is the first thing to underwrite.

Sell-side consensus is a Buy from ten analysts with an average price target of approximately US$38.70-39.30, roughly 60% above the current price. That dispersion has widened sharply post-print: Citi cut to US$30 on a Neutral, RBC upgraded to Outperform while cutting its target to US$35, Baird cut from US$50 to US$37 on an Outperform, and BofA cut from US$46 to US$40 on a Buy. The pattern — ratings held or upgraded, targets cut hard — is analysts marking to the margin trajectory while retaining conviction in the demand story, which is a fair summary of where the debate sits.

8.1 Bull case

The bull case is that FY26 is the trough year by construction and the market is extrapolating a deliberately front-loaded cost base. Equipment margin is depressed because INNIO is paying today to build the capacity that serves a US$6.6bn backlog and more than 15 GW of backlog plus slot reservations — dual-running lines, expediting castings, standing up Trenton and Waller before they carry volume. As production capacity moves from approximately 3.5 GW toward approximately 10 GW, those costs become fixed against three times the volume and equipment margin returns toward the high teens. In parallel, the service flywheel compounds behind the equipment: at a disclosed historical ratio of roughly 2.5x service adjusted EBITDA per unit of equipment adjusted EBITDA, and with data centre prime power carrying service intensity substantially above the 44 GW installed base average, today's equipment sales are laying down an annuity at 30% margins that does not yet appear in the numbers. On that path, FY28 adjusted EBITDA plausibly runs at US$1.2-1.4bn against today's US$586m, and the current approximately US$20.5bn enterprise value is roughly 15x it. Add an orderly sponsor sell-down that lifts the float from 13.8% toward a third, institutional ownership from 1% toward 40%, and eventual index eligibility, and the structural discount closes at the same time as the earnings arrive. Deleveraging from 2.7x through 2.0x during 2027 transfers value from debt to equity on arithmetic alone.

8.2 Bear case

The bear case is that INNIO is a leveraged, sponsor-controlled equipment manufacturer that has been re-rated as an AI infrastructure name, and that both the margin and the ownership structure will remind investors of that. Equipment margin at 7% in the first quarter and 13.8% in the second is not a rounding issue; if the data centre business is structurally lower margin than the European CHP business it is displacing — because gigawatt buyers negotiate accordingly — then the guided mix shift to 65% equipment is a permanent margin reset, not a trough, and FY26 guidance requiring a 48% half-on-half adjusted EBITDA increase is cut in November. Meanwhile the cash flow that makes the story look robust is substantially customer prepayment: contract liabilities grew US$581m in six months and represent the majority of first-half operating cash flow. The moment order intake normalises from a 4.4x book-to-bill, that inflow reverses into an outflow while US$958m of inventory and US$2.6bn of debt remain, against US$219m of book equity and US$237m of annual interest. Layer on a disclosed material weakness, a plaintiff firm already circulating, no guidance track record whatsoever, and roughly 646m sponsor shares queuing behind a 103m float, and the de-rating from US$42.95 to US$24.42 looks less like an overreaction than a start. If Caterpillar's near-tripled capacity and Wartsila's medium-speed units arrive into a decelerating hyperscaler capital expenditure cycle in 2028, a 28x forward enterprise value multiple on a cyclical engine manufacturer will not survive contact with it.

9 WHAT MOVES IT NEXT — EARNINGS SIGNAL MAP

ELI5 — One number per company, so you know which call to actually listen to

Every earnings season produces more disclosure than anyone can read. The trick is to decide in advance what single number would change your mind about each name, then check only that number first. Everything else is context. This table fixes the one metric per company across the immediate coverage cluster, so research time goes to the reports that can actually move a position rather than the ones that merely generate reading.

Company	Next earnings	Days away	The one metric	Why it matters
Cummins (CMI)	Q2 2026 — 4 Aug 2026 (confirmed)	1	Power Systems prime power versus standby order commentary, and whether the cited approximately US$20bn TAM expansion from prime power awards is quantified	The cleanest same-week read-across. Cummins is the incumbent in data centre backup; if it reports that customers are converting standby specifications into continuous-duty prime power, that is direct third-party confirmation of INNIO's core structural claim. If instead the growth remains standby-weighted, INNIO's prime power positioning is more differentiated than consensus credits

Company	Next earnings	Days away	The one metric	Why it matters
Caterpillar (CAT)	Q2 2026 — early Aug 2026 (est.)	approx. 2 (est.)	Power and Energy segment margin and any update to the nearly 3x large reciprocating engine capacity plan for 2030	The competitive supply question in one number. Caterpillar accelerating capacity while holding a 26%+ operating margin means it can price into INNIO's market without pain. Any sign of Caterpillar's own ramp costs compressing Power and Energy margin would, conversely, confirm that INNIO's equipment margin trough is an industry ramp phenomenon rather than an INNIO-specific execution problem
GE Vernova (GEV)	Q3 2026 — approx. 21 Oct 2026 (est.)	approx. 79 (est.)	Gas equipment backlog plus slot reservations against the at-least-125 GW year-end target, and any shortening of quoted delivery slots	Turbine slot availability is the substitution risk. INNIO wins today partly because turbine delivery is booked out years ahead. If GEV signals shorter lead times or slot availability opening up, the behind-the-meter megawatt becomes contestable by a technology with better power density
Wartsila (WRT1V.HE)	Q3 2026 — approx. late Oct 2026 (est.)	approx. 85 (est.)	Cumulative US data centre engine capacity booked beyond the current more-than-1.6 GW across four projects, and Energy segment order intake	The direct share test in the same technology class. Wartsila taking gigawatt-scale US data centre orders with medium-speed 34SG and 50SG units would show that operators at scale prefer fewer, larger machines — undermining the containerised high-speed thesis at exactly the site sizes driving INNIO's backlog
Bloom Energy (BE)	Q3 2026 — approx. late Oct 2026 (est.)	approx. 85 (est.)	Backlog composition and the share of revenue from related-party Brookfield joint ventures	Bloom is the valuation anchor: near-identical revenue at roughly triple the market capitalisation. If Bloom's backlog quality deteriorates or related-party concentration worsens, the premium compresses toward INNIO. If Bloom keeps delivering, the gap is a standing argument that INNIO is the cheap way to own on-site power
INNIO (INIO)	Q3 2026 — early Nov 2026 (est.)	approx. 95 (est.)	Equipment segment adjusted EBITDA margin above approximately 15-16%, against 13.8% in Q2'26 and 11.4% in H1'26 (EST. — derived from guidance, not company-guided)	This is the thesis in one number. FY26 guidance of US$720-740m requires H2 adjusted EBITDA of approximately US$435m versus US$295m in H1 — a 48% half-on-half step-up that can only come from equipment operating leverage, since services is already near its margin ceiling. Above 15% validates the ramp and supports 28x forward EV/EBITDA; near 12% converts guidance into a cut and the multiple compresses toward the diversified industrials

Prioritise Cummins tomorrow. It is the only confirmed date in the cluster, it lands before any position needs sizing, and it addresses the one thing that cannot be inferred from INNIO's own disclosure: whether the standby-to-prime-power conversion in data centre power procurement is a genuine industry-wide reclassification of demand or a narrative INNIO is telling about its own order book. Caterpillar in the same week is the necessary counterweight, because it answers the supply side of the same question. Both are read for INNIO rather than for themselves. The position-defining event, however, is INNIO's own third quarter in early November: the equipment margin number is the only data point that can settle the trough-versus-reset debate, and until it prints, the valuation rests on management's framing rather than on evidence. Investors inclined toward the name but uncomfortable with the float should also note that the lock-up expiry falls in the same window, which argues for waiting for both events to clear rather than anticipating either.

A APPENDIX A — VERIFICATION LOG

Report: INNIO N.V. (INIO) initiation. Verification date: 3 August 2026. Companies checked: 7. Verified clean: 5. Flagged: 2. Unverifiable / estimated items: as listed. Primary sources used: INNIO Q2 2026 earnings release (GlobeNewswire, 28 July 2026), INNIO Form 8-K Exhibit 99.2 Q2 2026 results presentation (SEC EDGAR), INNIO investor relations executive biographies, INNIO 1.1 GW order release (28 July 2026), Caterpillar FY25 results release, GE Vernova Q2 2026 Form 8-K, Wartsila H1 2026 report, and S&P Global Market Intelligence data via stockanalysis.com.

Item	Status	Note
INIO ticker, exchange, IPO	CLEAN	INNIO N.V., Nasdaq Global Select Market, ticker INIO. IPO priced 3 June 2026 at US$27.00, first trade 4 June 2026, closed 5 June 2026. Confirmed against company release and multiple independent sources
Market cap and share count	CLEAN	750,000,000 shares issued and outstanding, confirmed in the Q2 balance sheet. Market cap US$18.13-18.32bn across S&P Global feeds on 30-31 July 2026; presented as a range. Float 103.33m (13.8%)
FY25 and Q2'26 financials	CLEAN	All revenue, segment, EBITDA, backlog, order intake, balance sheet and cash flow figures taken directly from the company's Q2 2026 release and 8-K Exhibit 99.2 trending tables
Peer market caps and multiples	CLEAN (with dispersion noted)	Cummins, GE Vernova, Bloom Energy statistics from S&P Global via stockanalysis.com, dated 30 July 2026. Wartsila market cap from PitchBook, 28 July 2026. Cummins market cap spans US$87-97bn across sources and dates and is presented as a range
Competitor product specifications	CLEAN	Wartsila 34SG / 50SG outputs, Rolls-Royce mtu Series 4000 L64 (2.8 MW in 45 seconds, gearbox eliminated), Caterpillar G3516 2 GW AIP Corp order all sourced from trade press and manufacturer statements
Sponsor stake and shares sold	FLAGGED	Sources differ: the company release states 90,000,000 shares for US$2.43bn; a secondary source states 103.5m shares for approximately US$2.69bn, consistent with full exercise of a 13.5m over-allotment option. Retained stake presented as approximately 86-88%. Not resolved against the final prospectus
Board chair identity	FLAGGED	A single AI-generated aggregator asserts that former Cummins CEO Tom Linebarger chairs the board. This could not be corroborated from INNIO's own board of directors page or any primary filing within the research budget, and is therefore NOT stated as fact in this report. Verify directly before relying on it
Jenbacher Type 2 / 3 / 4 output ranges	EST.	Type 6 (1.8-4.5 MW) and Type 9 (10,606 kW) are confirmed from jenbacher.com. Type 2, 3 and 4 ranges are approximations consistent with the disclosed 250 kW to over 10 MW portfolio span but not individually verified
Levelised cost of electricity figures	EST. / FLAGGED	Gas engine approximately US$63/MWh, simple-cycle turbine approximately US$72/MWh, fuel cell mid-US$70s, grid US$103-131/MWh in TX/OH/PA, CCGT approximately US$110/MWh excluded. Read from a chart in a company presentation citing BloombergNEF (June 2026). Vendor-presented and chart-derived; treat as directional only
Lock-up expiry date	EST.	Approximately 30 November 2026, derived as 180 days from the 3 June 2026 prospectus on standard market convention. Not confirmed against the underwriting agreement; early-release provisions are common and were not verified
H2'26 equipment margin requirement	EST.	The approximately 16% figure is this report's own derivation from guidance midpoint, H1 actuals, an assumed services margin of approximately 30% and unallocated corporate costs extrapolated from H1. It is not company-guided. Sensitive to the services margin assumption
Rolls-Royce Power Systems revenue	FLAGGED	The EUR 2.4bn revenue figure located could not be confirmed as a full-year rather than half-year basis. Only the Rolls-Royce Holdings group figure (GBP 20.1bn underlying, FY25) is stated with confidence
Supplier names	EST.	INNIO does not publish a supplier register. Named suppliers (Accelleron, KBB, Marelli, Nidec / Leroy-Somer, ABB) are structural inferences from industry composition, except the Nidec relationship on Waukesha generator sets which is publicly announced. Treat the supply chain section as a risk map, not a verified vendor list
Corporate status	CLEAN	No acquisition, delisting, merger or insolvency event. Company listed 4 June 2026 and reported its first quarterly results as a public company on 28 July 2026

Corrections applied: the enterprise value to EBITDA multiple of 46.85x reported by aggregators uses GAAP EBITDA of US$438.3m, which is depressed by US$91.1m of non-recurring IPO costs. This report uses adjusted EBITDA throughout for multiple calculations and states the basis explicitly. Similarly, the reported trailing price-earnings ratio of 0.02x and earnings per share of US$972.00 in aggregator feeds are data errors arising from the pre-IPO share count and are disregarded. Coverage limitation: the Form S-1 and Form

10-Q were not read in full within the research budget; specific material weakness descriptions, the full customer concentration disclosure, the debt maturity schedule and the exact lock-up terms remain unread and are the highest-value next diligence steps.

B APPENDIX B — ACRONYM GLOSSARY

Acronym	Full term	Relevance here
ADIA	Abu Dhabi Investment Authority	Co-owner of AI Alpine alongside Advent, via its subsidiary Luxinva S.A.
AI	Artificial intelligence	The demand driver; also the initials in the shareholder vehicle name AI Alpine, which is coincidental
APM	Asset performance management	The category myPlant and SkidIQ occupy; drives service contract pull-through
BTM	Behind the meter	Generation sited on the customer's own premises, bypassing the utility grid connection
CAGR	Compound annual growth rate	Used in competitor growth framing
CCGT	Combined cycle gas turbine	Excluded from the company's LCOE comparison as nascent in BTM configurations
CHP	Combined heat and power	The traditional Jenbacher end market; captures waste heat for district or industrial heating
CODM	Chief operating decision maker	Accounting term defining whose view determines segment reporting
EBITDA	Earnings before interest, taxes, depreciation and amortisation	The company's primary profit metric; adjusted variants exclude IPO, transformation, transaction and share-based compensation costs
EPC	Engineering, procurement and construction	The plant delivery model where Wartsila has depth
FCF	Free cash flow	Defined by INNIO as operating cash flow less capital expenditure
GAAP	Generally accepted accounting principles	INNIO converted from IFRS to US GAAP for listing, at a cost of US$20.8m in H1'26
GW / MW / MWh	Gigawatt / megawatt / megawatt-hour	Power capacity and energy units; 1 GW = 1,000 MW
ICFR	Internal control over financial reporting	Where INNIO has disclosed material weaknesses
IPO	Initial public offering	4 June 2026, 100% secondary
LCOE	Levelised cost of electricity	Lifetime cost per MWh; the metric on which gas engines beat grid supply in the cited data
LTIP	Long-term incentive plan	The 2023 plan crystallised US$61.5m of cost on listing
LTM	Last twelve months	Trailing period used throughout for comparability
NOx	Nitrogen oxides	The principal regulated emission from gas combustion; lean-burn suppresses it by lowering peak flame temperature
OEM	Original equipment manufacturer	INNIO's role in the value chain
RSU	Restricted stock unit	1,702,100 outstanding under the 2026 Incentive Award Plan
SOX	Sarbanes-Oxley Act	Section 404 governs the ICFR audit opinion
TAM	Total addressable market	Vendor and sell-side TAM figures in this report are directional only

C APPENDIX C — DISCLAIMER

This document is internal buy-side research prepared for the recipient's own investment decision-making. It is not investment advice, not a recommendation to buy or sell any security, and not an offer or solicitation. Consistent with house convention, no price target and no buy or sell rating is expressed. Figures are drawn from company filings, company presentations, regulatory releases and third-party data providers as cited in Appendix A, and are stated as of 3 August 2026 using the 31 July 2026 closing price of US$24.42. Market capitalisations are presented as ranges where sources disperse. Items marked EST. are estimates or derivations by the author and items marked FLAGGED contain an unresolved source conflict; both should be independently verified before being relied upon. Vendor-supplied market sizing and levelised cost figures are directional. INNIO has been a public company for approximately two months, has never filed an annual report, has disclosed material weaknesses in internal control over financial reporting, and has no history of issuing or meeting public guidance; the confidence interval around every forward-looking statement in this report is correspondingly wide. Past performance is not indicative of future results. The author may hold positions in securities mentioned.